BUSINESS ENVIRONMENT AND BUSINESS ETHICS

Unit 1 – Multiple Choice Question Bank (200 MCQs)

BBA | Moderate Difficulty | Answer Key at the End

Syllabus: Concept of business environment; internal and external factors; PESTLE analysis; role of government in business; ethical values of society and corporate social responsibility.

Instructions: Each question has four options (A–D) with only one correct answer. Choose the best option. Answers are given in the Answer Key on the last pages.

Name: _____ Roll No.: _____ Date: _____

Section A: Concept of Business Environment (20 questions)

1.Business environment refers to

(A)Only the government policies affecting a firm
(B)Only the competitors of a firm
(C)The sum total of all internal and external forces that affect a business
(D)Only the financial resources of a firm

2.The definition "the aggregate of all conditions, events and influences that surround and affect it" is attributed to

(A)Keith Davis
(B)Peter Drucker
(C)Henri Fayol
(D)Philip Kotler

3.The feature of business environment which shows that it keeps changing over time is

(A)Static nature
(B)Dynamic nature
(C)Uniformity
(D)Rigidity

4.Business environment differs from country to country and even from firm to firm. This feature is called

(A)Relativity
(B)Totality
(C)Certainty
(D)Uniformity

5.Understanding business environment as the combination of all forces, rather than any single force, reflects its

(A)Totality
(B)Relativity
(C)Specificity
(D)Rigidity

6.Rapid changes in technology and consumer tastes make it hard to predict the future. This feature of business environment is

(A)Certainty
(B)Stability
(C)Uncertainty
(D)Uniformity

7.The process of monitoring the environment to identify opportunities and threats is called

(A)Market segmentation

(B)Capital budgeting
(C)Environmental scanning
(D)Job analysis

8.Which of the following is NOT a feature of business environment?

(A)It is static and never changes
(B)It is complex
(C)It is dynamic
(D)It is relative

9.A firm that spots a market trend before its rivals and acts on it gains

(A)Price discrimination
(B)Legal monopoly
(C)First mover advantage
(D)Automatic profits

10.Environmental analysis helps a firm by providing

(A)Guaranteed profits
(B)Freedom from competition
(C)Early warning signals about threats
(D)Immunity from regulation

11.In SWOT analysis, the letter 'O' stands for

(A)Objectives
(B)Operations
(C)Outputs
(D)Opportunities

12.Internal environment factors are generally

(A)Beyond any control
(B)Controlled by the government
(C)Controlled by competitors
(D)Controllable by management

13.External environment factors are generally

(A)Uncontrollable by an individual firm
(B)Fully controlled by the board
(C)Decided by employees
(D)Decided by shareholders

14.The external environment of business is broadly divided into

(A)Short-term and long-term environment
(B)Micro (task) and macro (general) environment
(C)Fixed and variable environment
(D)Financial and non-financial environment

15.Which of the following belongs to the micro environment of a business?

(A)Inflation
(B)Foreign exchange policy
(C)Culture of society
(D)Customers

16.Which of the following belongs to the macro environment of a business?

(A)Suppliers
(B)Direct competitors
(C)Marketing intermediaries
(D)Demographic factors

17.Knowledge of business environment helps managers mainly in

(A)Strategic planning and decision making
(B)Calculating depreciation
(C)Preparing payroll
(D)Fixing the colour of the logo

18.Firms that continuously monitor their environment generally

(A)Lose market share
(B)Adapt better and improve performance
(C)Avoid all risks
(D)Face no competition

19.The liberalisation of the Indian economy in 1991 changed the conditions in which Indian firms operated. This illustrates the ___ of business environment.

(A)Static nature
(B)Internal control
(C)Dynamic nature
(D)Uniformity

20.The environment that includes demographic, economic, political and technological forces affecting all firms is the

(A)Internal environment
(B)Micro environment
(C)Macro environment
(D)Departmental environment

Section B: Internal Factors (20 questions)

21.Which of the following is an internal factor of business environment?

(A)Value system of the promoters
(B)Inflation
(C)Competitors
(D)Foreign exchange rate

22.The mission statement of a firm describes

(A)Its last quarter's profit
(B)Its competitors' strategy
(C)Its purpose or reason for existence
(D)Government subsidies received

23.A vision statement of a firm describes

(A)Its past performance
(B)What the firm aspires to become in future
(C)Its legal compliance
(D)Its tax liability

24.Organisational structure refers to

(A)The firm's customer base
(B)The firm's competitors
(C)The firm's tax records
(D)The pattern of authority, responsibility and communication in a firm

25.The skill, motivation and attitude of employees affect a firm's

(A)Productivity and efficiency
(B)Interest rate
(C)Inflation
(D)National income

26.A firm's plant, machinery and production technology are classified as

(A)Macro factors
(B)Political factors
(C)Internal factors
(D)Legal factors

27.Corporate culture means

(A)The shared values, beliefs and norms within an organisation
(B)Competitors' behaviour
(C)Government rules
(D)Trade cycles

28.The brand image and goodwill of a company are usually treated as part of its

(A)Political environment
(B)Internal environment
(C)Legal environment
(D)Natural environment

29.In SWOT analysis, strengths and weaknesses relate to the

(A)Internal environment
(B)External environment
(C)Macro environment
(D)Political environment

30.In SWOT analysis, opportunities and threats relate to the

(A)External environment
(B)Internal environment
(C)Organisational structure
(D)Employee skills

31.Which of the following is an example of an internal weakness?

(A)A new government subsidy
(B)Rising market demand
(C)Lower interest rates
(D)Obsolete machinery

32.Which of the following is an example of an internal strength?

(A)Entry of a new competitor
(B)A recession
(C)A highly skilled R&D team
(D)A new tax on the product

33.Which factor can a firm modify most easily on its own?

(A)Monetary policy
(B)Climate
(C)Its organisational structure
(D)Population growth

34.The value system of promoters influences

(A)The RBI repo rate
(B)The weather
(C)The exchange rate
(D)The firm's goals, decisions and ethical conduct

35.Good labour-management relations within a firm are an example of a(n)

(A)Political factor
(B)Natural factor

(C)Internal factor
(D)Global factor

36.A firm's capacity to launch new products depends mainly on its

(A)Competitors' prices
(B)R&D and technological capability
(C)Government budget
(D)Weather conditions

37.A unique strength that gives a firm a lasting competitive advantage is called its

(A)Core deficit
(B)Peripheral skill
(C)Market failure
(D)Core competence

38.The composition of the Board of Directors and top management is part of a firm's

(A)Macro environment
(B)Natural environment
(C)Internal environment
(D)Global environment

39.Availability of funds for expansion within the company is an example of its

(A)Political factor
(B)Financial resources (internal factor)
(C)Demographic factor
(D)Legal factor

40.Which of the following is NOT an internal factor?

(A)Mission and vision
(B)Human resources
(C)Organisational culture
(D)Changes in government policy

Section C: External Factors (Micro and Macro Environment) (20 questions)

41.The micro environment is also known as the

(A)Task environment
(B)General environment
(C)Remote environment
(D)Societal environment

42.Which set contains only micro environment elements?

(A)Inflation, GDP, taxes
(B)Customers, suppliers, competitors
(C)Culture, religion, language
(D)Technology, law, politics

43.Firms that provide raw materials and components to a business are its

(A)Customers
(B)Competitors
(C)Suppliers
(D)Regulators

44.The bargaining power of customers increases when

(A)Only one seller exists
(B)Switching costs are very high
(C)Many substitutes are available

(D)The product is unique

45.Wholesalers, retailers and agents who help a firm reach its customers are called

(A)Competitors
(B)Suppliers
(C)Regulators
(D)Marketing intermediaries

46."Public" in the micro environment refers to

(A)Only the shareholders
(B)Only the customers
(C)Only government employees
(D)Any group with actual or potential interest in the firm, such as media or local community

47.Firms that sell similar or substitute products to the same customers are the firm's

(A)Competitors
(B)Suppliers
(C)Intermediaries
(D)Regulators

48.The macro environment consists of

(A)Forces that affect only one firm
(B)Only suppliers and customers
(C)Only employees and managers
(D)Larger societal forces that affect all firms in the economy

49.The main difference between micro and macro environment is that

(A)Micro factors are uncontrollable while macro factors are controllable
(B)Micro factors affect a particular firm closely while macro factors affect all firms
(C)Micro factors are global while macro factors are local
(D)There is no difference

50.Inflation, income levels and interest rates are part of the

(A)Economic environment
(B)Social environment
(C)Natural environment
(D)Legal environment

51.Population size, age structure and gender ratio are part of the

(A)Political environment
(B)Legal environment
(C)Technological environment
(D)Demographic environment

52.A rising proportion of young people in India's population offers firms

(A)No market opportunity
(B)A large consumer and workforce base
(C)Only threats
(D)A reason to stop investing

53.Climate, natural resources and pollution come under the

(A)Economic environment
(B)Legal environment
(C)Natural environment
(D)Cultural environment

54.Which of the following is an external opportunity for a firm?

(A)Rising middle-class incomes

(B)Outdated machinery
(C)A weak brand
(D)Poor employee morale

55.Which of the following is an external threat for a firm?

(A)A skilled workforce
(B)Entry of global competitors selling cheaper products
(C)A strong brand
(D)An efficient plant

56.Which of the following is NOT one of Porter's five forces?

(A)Threat of new entrants
(B)Bargaining power of buyers
(C)Threat of substitutes
(D)Political stability

57.The World Trade Organisation (WTO) forms part of the

(A)Internal environment
(B)Global environment
(C)Micro environment
(D)Organisational culture

58.A sharp rise in crude oil prices raising costs of transport companies is a change in the

(A)External (macro) environment
(B)Internal environment
(C)Organisational culture
(D)Human resource policy

59.A firm cannot control the interest rate set by the central bank. This shows that macro factors are

(A)Fully controllable
(B)Internal in nature
(C)Uncontrollable by the firm
(D)Negligible

60.The best response of a firm to an uncontrollable external change is generally to

(A)Ignore it
(B)Blame the government
(C)Adapt its strategy
(D)Shut down immediately

Section D: PESTLE Analysis (Overview, Political and Economic Factors) (25 questions)

61.PESTLE stands for

(A)Product, Economic, Social, Technical, Legal, Ethical
(B)Political, Economic, Social, Technological, Legal, Environmental
(C)Political, Educational, Social, Technological, Legal, Environmental
(D)Planning, Economic, Strategic, Technological, Legal, Environmental

62.PESTLE analysis is mainly used to

(A)Analyse internal strengths
(B)Calculate break-even point
(C)Scan the macro environment
(D)Measure employee satisfaction

63.In PESTLE, the letter 'L' stands for

(A)Labour
(B)Legal

(C)Liberalisation
(D)Leadership

64.In PESTLE, the final letter 'E' stands for

(A)Ethical
(B)Environmental
(C)Educational
(D)Employment

65.Another commonly used name for PESTLE analysis is

(A)PESTEL analysis
(B)SWOT analysis
(C)BCG matrix
(D)Ansoff matrix

66.A change in the party in power and its policies would be classified as a

(A)Social factor
(B)Political factor
(C)Technological factor
(D)Environmental factor

67.Political stability in a country generally results in

(A)Frequent policy changes
(B)No taxes
(C)Predictable policies that encourage investment
(D)No competition

68.Which of the following is a political factor?

(A)Inflation
(B)Fashion trends
(C)Automation
(D)Political stability and foreign policy

69.Which of the following is an economic factor?

(A)Religion
(B)Copyright law
(C)Pollution norms
(D)Inflation rate

70.If the interest rate on loans rises, the immediate effect on firms is

(A)A fall in the cost of borrowing
(B)An increase in the cost of borrowing
(C)No effect on borrowing
(D)Lower taxes

71.Rapid growth in GDP generally leads to

(A)Higher consumer spending and demand
(B)Lower demand
(C)Higher unemployment
(D)Fewer business opportunities

72.A sustained rise in the general price level is called

(A)Deflation
(B)Inflation
(C)Devaluation
(D)Recession

73.A sustained fall in the general price level is called

(A)Inflation
(B)Stagflation
(C)Deflation
(D)Devaluation

74.Which of the following is a phase of the business cycle?

(A)Recovery
(B)Revolution
(C)Reformation
(D)Rationalisation

75.If the rupee depreciates against the US dollar, imports into India become

(A)Costlier
(B)Cheaper
(C)Free of duty
(D)Unaffected

76.Monetary policy in India is formulated by the

(A)SEBI
(B)NITI Aayog
(C)Competition Commission of India
(D)Reserve Bank of India

77.Fiscal policy is concerned with

(A)Money supply and credit control
(B)Interest rates set by banks
(C)Government taxation and public expenditure
(D)Exchange rate of the dollar

78.The repo rate is the rate at which

(A)Commercial banks lend to the public
(B)The RBI lends short-term funds to commercial banks
(C)The RBI borrows from commercial banks
(D)Banks lend to each other

79.When the RBI increases the repo rate, loan interest rates in the economy are likely to

(A)Fall
(B)Remain unchanged
(C)Become zero
(D)Rise

80.The economic system followed in India is a

(A)Pure capitalist economy
(B)Pure socialist economy
(C)Mixed economy
(D)Communist economy

81.Per capita income is calculated by

(A)Multiplying national income by population
(B)Dividing exports by imports
(C)Dividing national income by population
(D)Adding wages and profits

82.Income left with a consumer after paying direct taxes is called

(A)Disposable income
(B)Gross income
(C)National income

(D)Corporate income

83.Which indicator is commonly used to measure retail inflation in India?

(A)Consumer Price Index (CPI)
(B)Sensex
(C)Repo rate
(D)Fiscal deficit

84.The Balance of Payments is a record of

(A)Government income and expenditure
(B)Bank deposits and loans
(C)Imports of goods only
(D)All economic transactions between a country and the rest of the world

85.During the boom phase of a business cycle, firms generally

(A)Shut down plants
(B)Cut all advertising
(C)Expand production and investment
(D)Reduce output

Section E: PESTLE Analysis (Social, Technological, Legal and Environmental Factors) (25 questions)

86.Which of the following is a social factor?

(A)Changing lifestyles and customs
(B)Tax rate
(C)Patent law
(D)Carbon emission norms

87.Growing health consciousness leading to higher demand for organic food is an example of a

(A)Political factor
(B)Social factor
(C)Legal factor
(D)Technological factor

88.The culture of a society comprises its

(A)Tax structure
(B)Monetary policy
(C)Shared beliefs, values and customs
(D)Patents

89.Rising participation of women in the workforce increasing demand for ready-to-eat foods is a

(A)Legal factor
(B)Social factor
(C)Natural factor
(D)Political factor

90.Literacy rate and education level of a population are part of the

(A)Natural environment
(B)Social environment
(C)Legal environment
(D)Political environment

91.Which of the following is a technological factor?

(A)Religion
(B)Tax policy
(C)Pollution norms

(D)Automation and artificial intelligence

92.The rapid growth of UPI digital payments illustrates the impact of the

(A)Political environment
(B)Natural environment
(C)Legal environment
(D)Technological environment

93.Technological obsolescence means

(A)Introduction of new taxes
(B)Increase in prices
(C)Existing technology or products becoming outdated
(D)Fall in demand due to inflation

94.Technology transfer means

(A)Selling a factory
(B)Changing the brand name
(C)Hiring new managers
(D)Moving technology from one firm or country to another

95.The growth of e-commerce which changed the way retail works is mainly a result of

(A)Demographic change
(B)Religious change
(C)Political change
(D)Technological change

96.Which of the following is a technology-related threat for a firm still using old technology?

(A)A government subsidy
(B)Obsolescence of its products
(C)A tax cut
(D)Brand loyalty

97.Which of the following is a legal factor?

(A)Inflation
(B)Lifestyle
(C)Climate change
(D)Companies Act, 2013

98.The Consumer Protection Act, 2019 mainly protects the interests of

(A)Shareholders
(B)Suppliers
(C)Competitors
(D)Consumers

99.The Competition Act, 2002 aims to

(A)Prevent anti-competitive practices
(B)Encourage monopolies
(C)Control prices of all goods
(D)Regulate stock exchanges

100.The MRTP Act, 1969 was replaced by the

(A)FEMA, 1999
(B)Consumer Protection Act, 1986
(C)Companies Act, 2013
(D)Competition Act, 2002

101.FERA was replaced by

(A)MRTP Act

(B)FEMA, 1999
(C)SEBI Act
(D)Information Technology Act

102.The SEBI Act, 1992 is mainly concerned with the regulation of the

(A)Agricultural trade
(B)Foreign trade
(C)Securities market
(D)Labour market

103.The Information Technology Act, 2000 mainly deals with

(A)Income tax
(B)Excise duty
(C)Banking regulation
(D)Electronic transactions and cyber crime

104.The Environment (Protection) Act of India was enacted in

(A)1976
(B)1996
(C)2006
(D)1986

105.Which of the following is an environmental factor?

(A)Wage rates
(B)Climate change and pollution
(C)Inflation
(D)Culture

106.Carbon footprint means

(A)The area of a factory
(B)Number of trees planted
(C)Amount of coal produced
(D)Total greenhouse gas emissions caused by an individual or organisation

107.The Brundtland Commission defined sustainable development as development that

(A)Maximises industrial output
(B)Meets present needs without compromising the ability of future generations to meet theirs
(C)Focuses only on environmental protection
(D)Maximises short-term profits

108.A government ban on single-use plastic would mainly be classified as a

(A)Demographic factor
(B)Internal factor
(C)Micro factor
(D)Legal and environmental factor

109.Many firms shifting to solar energy are mainly responding to

(A)Environmental concerns and cost saving
(B)Demographic changes
(C)Exchange rate changes
(D)Trade cycles

110.Patent and copyright laws that protect inventions come under the

(A)Social environment
(B)Natural environment
(C)Legal environment
(D)Demographic environment

Section F: Role of Government in Business (25 questions)

111.Which of the following is NOT a role of government in business?

(A)Regulatory role
(B)Promotional role
(C)Fixing daily production targets of private firms
(D)Entrepreneurial role

112.When the government makes laws and rules to control business activity it acts as a

(A)Promoter
(B)Entrepreneur
(C)Consumer
(D)Regulator

113.Providing subsidies, tax holidays and SEZs to encourage industry is the government's ___ role.

(A)Regulatory
(B)Planning
(C)Promotional
(D)Judicial

114.SAIL, BHEL and ONGC illustrate the government's role as an

(A)Regulator only
(B)Auditor
(C)Lender only
(D)Entrepreneur

115.Five Year Plans in India reflect the government's role as a

(A)Planner
(B)Consumer
(C)Competitor
(D)Shareholder only

116.The NITI Aayog replaced the Planning Commission in

(A)2010
(B)2005
(C)2015
(D)2018

117.The Industrial Policy Resolution of 1956 classified industries into

(A)Two schedules
(B)Three schedules
(C)Five schedules
(D)Seven schedules

118.The New Industrial Policy of 1991 is associated with

(A)Nationalisation and licensing
(B)Self-sufficiency and import substitution
(C)Price control and rationing
(D)Liberalisation, Privatisation and Globalisation

119.After 1991, industrial licensing was abolished for all industries except

(A)Textiles
(B)A few strategic or hazardous sectors
(C)Software
(D)Agriculture

120.Disinvestment means

(A)Buying private companies

(B)Sale of government equity in public sector enterprises
(C)Closing public enterprises
(D)Increasing public ownership

121.Privatisation means

(A)Transfer of ownership from private to public sector
(B)Opening a new government company
(C)Transfer of ownership or management from public to private sector
(D)Banning private firms

122.Globalisation means

(A)Nationalisation of industries
(B)Closing of borders
(C)Increase in government control
(D)Integration of the domestic economy with the world economy

123.Liberalisation means

(A)Increasing licences
(B)Increasing tariffs
(C)Reducing government controls and restrictions on business
(D)Banning imports

124.Which of the following is a public sector undertaking?

(A)Infosys
(B)Tata Steel
(C)Oil and Natural Gas Corporation
(D)Reliance Industries

125.Giving a tax holiday to firms setting up in backward areas is an example of the government's ___ role.

(A)Promotional
(B)Regulatory
(C)Judicial
(D)Auditing

126.The Special Economic Zones (SEZ) Act in India was passed in

(A)1991
(B)2000
(C)2013
(D)2005

127.The "Make in India" initiative was launched in 2014 to

(A)Restrict all imports
(B)Privatise all banks
(C)Promote manufacturing in India
(D)Nationalise industries

128.The Startup India initiative aims to

(A)Foster entrepreneurship and startups
(B)Ban foreign investment
(C)Control the stock market
(D)Tax agriculture

129.The Digital India programme launched in 2015 aims to

(A)Transform India into a digitally empowered society
(B)Privatise telecom
(C)Merge public sector banks

(D)Give export subsidies

130.The Goods and Services Tax (GST) was introduced in India from

(A)1 April 2015
(B)1 July 2017
(C)1 January 2019
(D)1 April 2014

131.GST replaced several indirect taxes such as

(A)Excise duty, VAT and service tax
(B)Corporate tax and wealth tax
(C)Stamp duty and income tax
(D)Customs duty and corporation tax

132.The Competition Commission of India (CCI) was set up under the

(A)Companies Act, 2013
(B)FEMA, 1999
(C)SEBI Act, 1992
(D)Competition Act, 2002

133.The Insolvency and Bankruptcy Code was enacted in

(A)2006
(B)2016
(C)2013
(D)2019

134.When the government buys goods and services from private firms for defence and public works, it acts as a

(A)Customer
(B)Regulator only
(C)Competitor
(D)Shareholder

135.The main justification for government regulation of business is to

(A)Increase the profits of firms
(B)Eliminate all competition
(C)Protect public interest and correct market failures
(D)Reduce employment

Section G: Ethical Values of Society and Business Ethics (30 questions)

136.Ethics refers to

(A)Legal punishments
(B)Moral principles that govern the behaviour of an individual or group
(C)Financial rules
(D)Government policies

137.Business ethics means

(A)Maximising profit by any means
(B)Following only tax rules
(C)Applying ethical principles to business decisions and conduct
(D)Advertising honestly only

138.Enduring beliefs about what is right and desirable that guide behaviour are called

(A)Values
(B)Rules
(C)Policies

(D)Procedures

139.Which of the following is a core ethical value in business?

(A)Exploitation
(B)Manipulation
(C)Honesty
(D)Nepotism

140.An advertisement making false claims about a product violates the principle of

(A)Liquidity
(B)Profitability
(C)Specialisation
(D)Honesty and truthfulness

141.A code of ethics is

(A)A tax law
(B)A written set of principles guiding employee conduct
(C)A financial statement
(D)A marketing plan

142.Whistle blowing means

(A)Firing a worker
(B)Announcing a new product
(C)An employee disclosing wrongdoing in the organisation to authorities or the public
(D)Raising a stock price

143.Insider trading means

(A)Trading only by directors
(B)Trading in securities using unpublished price-sensitive information
(C)Trading within a country
(D)Trading by banks

144.Corporate governance refers to

(A)The system by which companies are directed and controlled
(B)Government control of companies
(C)Marketing strategy
(D)Employee training

145.The Satyam scandal of 2009 was related to

(A)Environmental damage
(B)Product safety failure
(C)Falsification of accounts
(D)Tax holidays

146.The Bhopal gas tragedy of 1984 was associated with the company

(A)Union Carbide
(B)Hindustan Unilever
(C)Tata Chemicals
(D)Reliance Industries

147.The collapse of Enron in 2001 is widely associated with

(A)Product recall
(B)Accounting fraud
(C)An oil spill
(D)A labour strike

148.Under Indian law, employment of children below the age of ___ in any occupation is prohibited.

(A)12 years

(B)14 years
(C)16 years
(D)18 years

149.Creating artificial scarcity by hoarding goods to raise prices is

(A)An unethical business practice
(B)Smart pricing
(C)A CSR activity
(D)A government incentive

150.Which of the following is an unethical marketing practice?

(A)Honest labelling
(B)Selling adulterated products
(C)Offering a genuine warranty
(D)Fair pricing

151.An ethical dilemma is a situation in which

(A)Only one right action exists
(B)A person must choose between conflicting values or right actions
(C)The law gives a clear answer
(D)No decision is needed

152.Which statement about law and ethics is correct?

(A)All legal acts are ethical
(B)All unethical acts are illegal
(C)Law and ethics are identical
(D)An act may be legal but still unethical

153.Which of the following is a source of an individual's ethical values?

(A)Stock market
(B)Interest rates
(C)GDP
(D)Family, religion and education

154.A key benefit of business ethics for a firm is

(A)Guaranteed profits
(B)Freedom from taxes
(C)Improved reputation and customer trust
(D)Elimination of competition

155.The concept of "trusteeship" in business is associated with

(A)Adam Smith
(B)Karl Marx
(C)Milton Friedman
(D)Mahatma Gandhi

156."Satya" in the Indian ethical tradition stands for

(A)Non-violence
(B)Charity
(C)Self-control
(D)Truth

157.Transparency in business means

(A)Openness in disclosing information to stakeholders
(B)Hiding losses
(C)Secret pricing
(D)Avoiding audits

158.Accountability means

(A)Avoiding responsibility
(B)Being answerable for one's actions and decisions
(C)Maximising profits
(D)Reducing costs

159.A purchase manager awarding a contract to a relative's firm without competitive bidding creates a

(A)CSR activity
(B)Fair trade practice
(C)Conflict of interest
(D)Diversification

160.Offering a bribe to obtain a government contract is

(A)Ethical but illegal
(B)Both unethical and illegal
(C)Legal but unethical
(D)Both ethical and legal

161.The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act was passed in

(A)2003
(B)2013
(C)1993
(D)2019

162.Ethics training in organisations mainly helps in

(A)Building an ethical culture
(B)Raising share prices directly
(C)Avoiding all taxes
(D)Replacing laws

163.When senior managers consistently model honest behaviour so that employees follow, it is called

(A)Autocratic leadership
(B)Ethical leadership
(C)Laissez-faire leadership
(D)Bureaucracy

164.A systematic evaluation of a company's compliance with its ethical standards is called an

(A)Stock audit
(B)Cost audit
(C)Ethics audit
(D)Tax audit

165.Ethical conduct by a firm over time mainly builds

(A)Goodwill and long-term sustainability
(B)Short-term losses only
(C)Legal disputes
(D)Government control

Section H: Corporate Social Responsibility (CSR) (35 questions)

166.CSR refers to

(A)A company's obligation to act in ways that benefit society beyond profit making
(B)Maximising shareholders' profit only
(C)Evading taxes
(D)Making political donations

167.Milton Friedman argued that the social responsibility of business is

(A)To build schools
(B)To increase its profits within the rules of the game
(C)To pay the highest wages
(D)To protect the environment at any cost

168.Which sequence shows Carroll's CSR pyramid from base to top?

(A)Economic, Legal, Ethical, Philanthropic
(B)Legal, Economic, Ethical, Philanthropic
(C)Ethical, Economic, Legal, Philanthropic
(D)Philanthropic, Ethical, Legal, Economic

169.At the base of Carroll's pyramid of CSR lies

(A)Economic responsibility
(B)Philanthropic responsibility
(C)Ethical responsibility
(D)Legal responsibility

170.Being a good corporate citizen by contributing resources to the community is Carroll's

(A)Economic responsibility
(B)Philanthropic responsibility
(C)Legal responsibility
(D)Ethical responsibility

171.The "Triple Bottom Line" approach, coined by John Elkington, refers to

(A)People, Planet and Profit
(B)Price, Product and Promotion
(C)Plan, Process and Policy
(D)Power, Position and Prestige

172.The stakeholder approach to business responsibility was popularised by

(A)Milton Friedman
(B)Peter Drucker
(C)Henry Ford
(D)R. Edward Freeman

173.Which of the following is NOT a stakeholder of a business?

(A)Employees
(B)Customers
(C)A firm that has no connection with it at all
(D)Suppliers

174.Section 135 of the Companies Act, 2013 deals with

(A)Loans to directors
(B)Appointment of auditors
(C)Corporate Social Responsibility
(D)Winding up of companies

175.The CSR provisions of the Companies Act came into effect in India from

(A)1 April 2013
(B)1 April 2016
(C)1 January 2015
(D)1 April 2014

176.A company must comply with Section 135 CSR provisions if its net profit in the preceding financial year is at least

(A)Rs 50 lakh

(B)Rs 1 crore
(C)Rs 5 crore
(D)Rs 10 crore

177.A company must comply with CSR provisions if its net worth in the preceding financial year is at least

(A)Rs 500 crore
(B)Rs 100 crore
(C)Rs 50 crore
(D)Rs 5,000 crore

178.A company must comply with CSR provisions if its turnover in the preceding financial year is at least

(A)Rs 100 crore
(B)Rs 500 crore
(C)Rs 10,000 crore
(D)Rs 1,000 crore

179.A qualifying company must spend on CSR at least ___ of its average net profits of the preceding three financial years.

(A)1%
(B)2%
(C)5%
(D)10%

180.The CSR Committee of the Board must have at least

(A)Five directors
(B)Seven directors
(C)Three directors
(D)Two directors

181.Schedule VII of the Companies Act, 2013 lists

(A)Activities eligible for CSR spending
(B)Qualifications of directors
(C)Formats of accounts
(D)Rules for auditors

182.Which of the following is an eligible CSR activity under Schedule VII?

(A)Eradicating hunger, poverty and malnutrition
(B)Donation to a political party
(C)Payment of employee bonus
(D)Advertising the company's brand

183.Which of the following is NOT permitted as CSR expenditure?

(A)Promoting education
(B)Rural development projects
(C)Contribution to a political party
(D)Ensuring environmental sustainability

184.Which expenditure does NOT qualify as CSR?

(A)Women empowerment programmes
(B)Activities meant exclusively for the company's own employees and families
(C)Health camps for villagers
(D)Tree plantation drives

185.A company's CSR policy and activities must be disclosed in the

(A)Only newspapers
(B)Only the income tax return
(C)Nowhere

(D)Board's Report and on the company's website

186.Under Section 135, if a qualifying company fails to spend the prescribed CSR amount, it must

(A)Face no consequence
(B)Disclose the reasons in the Board's Report and transfer the unspent amount as per rules
(C)Dissolve the company
(D)Pay an extra dividend

187.Unspent CSR funds not linked to an ongoing project must be transferred to a Schedule VII fund within

(A)Six months of the end of the financial year
(B)One month
(C)Three years
(D)Two years

188.A firm funding afforestation and water conservation is performing CSR related to

(A)Employee welfare only
(B)Environmental sustainability
(C)Advertising
(D)Tax planning

189.Providing safe working conditions and fair wages to employees is a part of

(A)Responsibility towards competitors
(B)Responsibility towards the government
(C)Purely philanthropic activity
(D)Responsibility towards employees (internal stakeholders)

190.Supplying quality goods at fair prices with honest information is a responsibility towards

(A)Consumers
(B)Shareholders
(C)Competitors
(D)Employees

191.Giving shareholders a fair return and transparent reporting is a responsibility towards

(A)Shareholders
(B)Consumers
(C)Suppliers
(D)The community

192.Paying taxes honestly and complying with laws is a responsibility towards the

(A)Competitors
(B)Suppliers
(C)Government
(D)Employees only

193.Providing local employment and supporting community development is a responsibility towards the

(A)Community
(B)Competitors
(C)Shareholders only
(D)Banks only

194.Which of the following is an argument in favour of CSR?

(A)It always lowers costs
(B)It avoids all taxes
(C)It eliminates competition
(D)It improves long-term brand image and public trust

195.Which of the following is a common argument against CSR?

(A)It improves goodwill
(B)It may divert resources from profit maximisation
(C)It raises employee morale
(D)It builds trust

196.Greenwashing means

(A)Making misleading claims about the environmental benefits of a product or practice
(B)Cleaning a factory
(C)Planting trees
(D)Using recycled paper

197.Corporate citizenship means

(A)A company owning citizens' land
(B)Paying no tax
(C)Having foreign owners
(D)A company acting as a responsible member of the community

198.Tata Trusts are associated with the business group

(A)Reliance Group
(B)Infosys
(C)Bajaj Auto
(D)Tata Group

199.SEBI requires top listed companies to file the

(A)Annual Cost Audit Report
(B)Business Responsibility and Sustainability Report (BRSR)
(C)Insolvency Report
(D)Import Report

200.A systematic evaluation of a company's performance in meeting its social objectives is called a

(A)Stock audit
(B)Cost audit
(C)Internal check
(D)Social audit

ANSWER KEY

Business Environment and Business Ethics – Unit 1 (Questions 1–200)

Section A: Concept of Business Environment (Q1–Q20)									
1. **C**	2. **A**	3. **B**	4. **A**	5. **A**	6. **C**	7. **C**	8. **A**	9. **C**	10. **C**
11. **D**	12. **D**	13. **A**	14. **B**	15. **D**	16. **D**	17. **A**	18. **B**	19. **C**	20. **C**
Section B: Internal Factors (Q21–Q40)									
21. **A**	22. **C**	23. **B**	24. **D**	25. **A**	26. **C**	27. **A**	28. **B**	29. **A**	30. **A**
31. **D**	32. **C**	33. **C**	34. **D**	35. **C**	36. **B**	37. **D**	38. **C**	39. **B**	40. **D**
Section C: External Factors (Micro and Macro Environment) (Q41–Q60)									
41. **A**	42. **B**	43. **C**	44. **C**	45. **D**	46. **D**	47. **A**	48. **D**	49. **B**	50. **A**
51. **D**	52. **B**	53. **C**	54. **A**	55. **B**	56. **D**	57. **B**	58. **A**	59. **C**	60. **C**
Section D: PESTLE Analysis (Overview, Political and Economic Factors) (Q61–Q85)									
61. **B**	62. **C**	63. **B**	64. **B**	65. **A**	66. **B**	67. **C**	68. **D**	69. **D**	70. **B**
71. **A**	72. **B**	73. **C**	74. **A**	75. **A**	76. **D**	77. **C**	78. **B**	79. **D**	80. **C**
81. **C**	82. **A**	83. **A**	84. **D**	85. **C**					
Section E: PESTLE Analysis (Social, Technological, Legal and Environmental Factors) (Q86–Q110)									
86. **A**	87. **B**	88. **C**	89. **B**	90. **B**	91. **D**	92. **D**	93. **C**	94. **D**	95. **D**
96. **B**	97. **D**	98. **D**	99. **A**	100. **D**	101. **B**	102. **C**	103. **D**	104. **D**	105. **B**
106. **D**	107. **B**	108. **D**	109. **A**	110. **C**					
Section F: Role of Government in Business (Q111–Q135)									
111. **C**	112. **D**	113. **C**	114. **D**	115. **A**	116. **C**	117. **B**	118. **D**	119. **B**	120. **B**
121. **C**	122. **D**	123. **C**	124. **C**	125. **A**	126. **D**	127. **C**	128. **A**	129. **A**	130. **B**
131. **A**	132. **D**	133. **B**	134. **A**	135. **C**					
Section G: Ethical Values of Society and Business Ethics (Q136–Q165)									
136. **B**	137. **C**	138. **A**	139. **C**	140. **D**	141. **B**	142. **C**	143. **B**	144. **A**	145. **C**
146. **A**	147. **B**	148. **B**	149. **A**	150. **B**	151. **B**	152. **D**	153. **D**	154. **C**	155. **D**
156. **D**	157. **A**	158. **B**	159. **C**	160. **B**	161. **B**	162. **A**	163. **B**	164. **C**	165. **A**
Section H: Corporate Social Responsibility (CSR) (Q166–Q200)									
166. **A**	167. **B**	168. **A**	169. **A**	170. **B**	171. **A**	172. **D**	173. **C**	174. **C**	175. **D**
176. **C**	177. **A**	178. **D**	179. **B**	180. **C**	181. **A**	182. **A**	183. **C**	184. **B**	185. **D**
186. **B**	187. **A**	188. **B**	189. **D**	190. **A**	191. **A**	192. **C**	193. **A**	194. **D**	195. **B**
196. **A**	197. **D**	198. **D**	199. **B**	200. **D**					